NFLX · Investment Committee Decision

Netflix, Inc. (NASDAQ) · Tech Platform / Subscription + Ads · Existing holding: 340 shares · Meeting 2026-10-07

5-STAGE PIPELINE

OFFICIAL VERDICT

HOLD CORE + CONDITIONAL ACCUMULATE

CRO: APPROVED · CONDITIONAL CAP · MAX 3.0%

- **Business intact**: revenue +13%, Q2 op. margin 33.4%, FY25 true FCF **$9.09B**, S&P 'A'.
- **Not a chase**: 16.6% below base fair value is short of the 20–30% margin of safety.
- **Stage 350 shares** after the Oct 20 print + at $65 support, funded by trimming 100 NVDA.

PRICE (10/07 CLOSE)

$69.70

1Y −41.5% · −48% vs ATH

CONSERVATIVE IV

$74.78

DCF $65.95 ⊕ 22x P/E $83.60

12M BASE TARGET

$83.60

+19.9% · Prob-wtd $81.28

ACCUMULATE ZONE

$62.5–67

20–25% margin of safety

POSITION PLAN

340→690

1.36% → 2.75% (cap 3.0%)

BINARY CATALYST

Oct 20

Q3: guide $12.86B · 33.2% OM

✅ Fortress Fundamentals

ROE 41% (FY25 DuPont) · net debt 0.37x EBITDA · SBC ≈1% of revenue · $27.1B buyback capacity.

⚠️ Attention-Share War

Nielsen Jul-26: YouTube **14.2%** vs Netflix **7.8%**. WFC → UW ($57), HSBC → Hold ($76). Skydance (Paramount+WBD) closed Oct 6.

🧭 True Diversifier

2Y beta vs SPY **0.70**, correlation **0.33**; zero AI-capex linkage vs. a book that is ~77% AI-factor exposed.

Multi-Year Empirical Validation

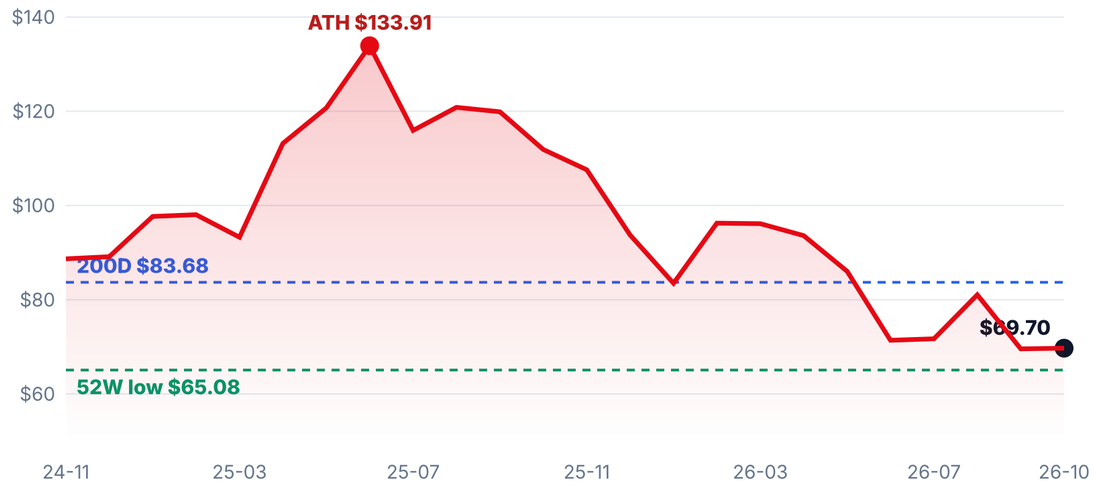
BM사장님 30-Year Mandate · 1Y / 3Y / 5Y / 10Y returns, FCF trajectory, solvency, drawdown resilience

VALUE-TRAP TEST: PASSED

Empirical Scorecard

Metric	Audited Fact	Context	Verdict
1-Year Return	**−41.5%** ($119.11 → $69.70)	vs SPY +17.4%	Sentiment trough
3-Year Return	**+82.7%** (CAGR +22.2%)	Ad tier + paid sharing	Compounding
5-Year Return	+10.3% (CAGR +2.0%)	2022 crash + 2026 de-rating	Multiple only
10-Year CAGR	**+20.9%**	No dividend	Elite
True FCF (net SBC)	$1.04B → $6.59B → $6.65B → **$9.09B**	FY22 → FY25	9x in 3Y
Balance Sheet	Net debt $5.3B · 17x interest cover	S&P 'A' Stable	Fortress
Drawdown	2022 MDD **−75.9%** · now −48%	β 0.70 / ρ 0.33	Fragile on scares

24-Month Price Path — De-rating, Not Decay



ATH $133.91 (Jun-25) → $69.70. Forward P/E compressed from ~45x to **18.3x** while revenue grew +24% since mid-2024.

Revenue Compounding

FY22 $31.6B → FY25 $45.2B → TTM $48.4B; FY26 guide $51.0–51.4B (+13%).

Value-Trap Verdict

5Y price CAGR +2.0% came entirely from multiple compression; true FCF +770%. **No capital erosion.**

Drawdown Caveat

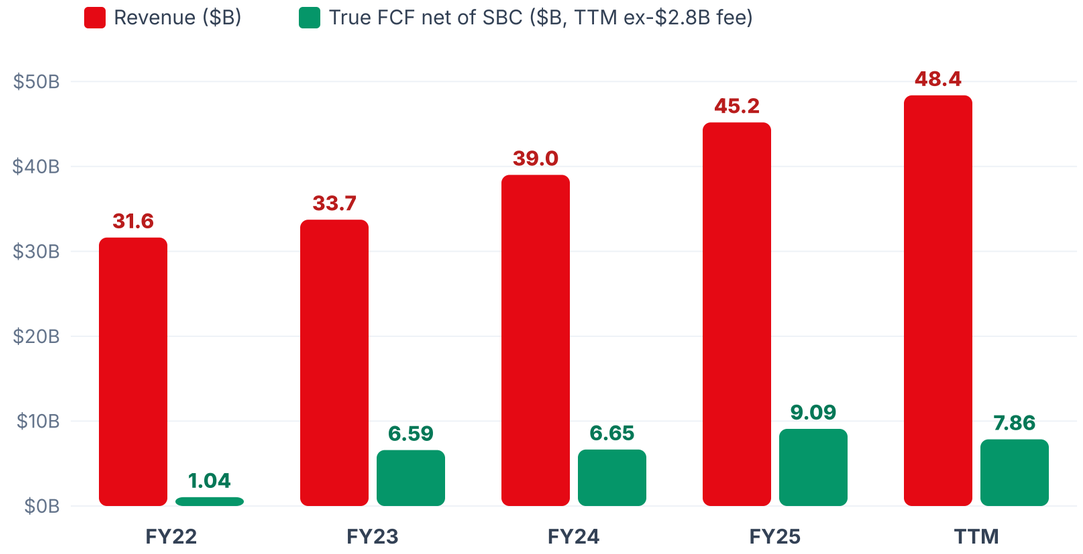
The −75.9% 2022 MDD proves NFLX can halve on growth scares. Sizing must stay satellite-level (≤3%).

Forensic Financials & Health Scorecard

10-K / 10-Q audit · one-time $2.8B WBD termination fee (received Q1'26) stripped from all run-rate metrics

FORENSIC GRADE: A

Revenue vs. True FCF (net of SBC)



Fundamental, Flow & Forensic Scorecard

Macro	Headwind	Fed +25bp → 3.75–4.00% (9/16); 10Y ~5.3%
Forensic	A	'A' credit · 0.37x net debt/EBITDA
True FCF	$9.09B	FY25 · TTM ex-fee $7.86B
Moat	Stable / Narrowing	Monetization strong, attention share slipping
Earnings	In-line, soft guide	Q2 EPS $0.80 vs $0.79 · stock −8%
Smart Money	42/100	Co-CEO sales; FMR −33.6% (13F)
Sentiment	70/100	Pessimism peak → contrarian accumulate
Regulatory	Moderate watch	Brazil CIDE · EU DSA · autoplay suits

DuPont ROE (FY25)

24.3% net margin × 0.81x turnover × 2.09x leverage ≈ **41%**. The 49.5% TTM figure is fee-inflated.

Shareholder Yield

FY25 buybacks $9.1B; diluted shares 4.51B → 4.34B (−3.7%, FY22–25); new $25B authorization (Apr-26).

Normalization

FY26 consensus EPS $3.58 includes ~$0.47 of fee benefit → **underlying $3.11**. FY27E **$3.80** → 18.3x.

Master Evaluation Matrix

5 Great Masters + Chief Market Technician · independent verdicts, then CIO arbitration

CONSENSUS: HOLD / STAGE

Warren Buffett

HOLD · BUY ≤ $67

Moat & 20–30% MoS

325M+ members, scale content economics, pricing power (Mar-26 hike). But the discount to fair value is only 16.6%, short of the 20–30% MoS.

Charlie Munger

QUALITY · FAIR PRICE

ROIC & Inversion

Capital-light 30% margins. Invert: free YouTube attention (14.2%) could force a content-spend treadmill; a mega-M&A repeat is the other killer.

Peter Lynch

STALWART · FAIR

Category & PEG

Fast Grower maturing into a Stalwart. PEG 0.81 (consensus 22.6%) / 1.15 (conservative 16%). Disclosure retreat makes the story harder to track.

Stanley Druckenmiller

WATCH · 2.3:1

18M Inflection · ≥3:1

Ads ~$3B (2x) and live events are real levers, but bull +47% / bear −21% = 2.3:1, and the Fed is hiking with the 10Y at 5.3%. No aggressive size.

William J. O'Neil

LAGGARD · NO BUY

CAN SLIM

Fails L (RS −41% vs SPY +17%) and M (rate-hike tape). Q3 EPS +40% is on an easy comparison. Needs to reclaim the $83.68 200-DMA on volume.

Market Technician

SUPPORT BUY · 1:3.2

Chart & ≥1:2 R:R

Bearish stack 69.70 < 72.24 < 75.42 < 83.68; RSI 41. Entry $65–67, stop $60.50, T1 $75.40, T2 $83.60.

⚖️ CIO Conflict Reconciliation

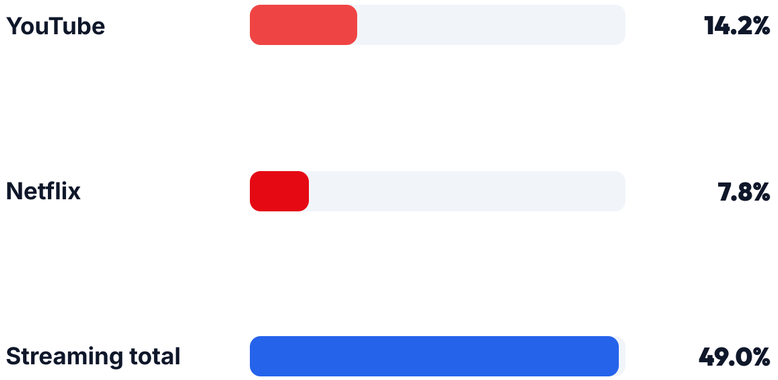
The value camp (Buffett/Munger/Lynch) sees an 'A'-credit, 41%-ROE franchise at its cheapest multiple in a decade. The momentum camp (O'Neil/Technician/Druckenmiller) sees a confirmed downtrend, two fresh downgrades and a hiking Fed. **Ruling:** the business is not broken, but the debate has shifted to *"does Netflix still own attention?"* and will not resolve before Oct 20. So the firm neither chases at $69.70 nor sells a quality franchise at a sentiment low. **Hold 340 sh; stage 350 sh into confirmation and $65 support; cap 3.0%.**

Competition, Smart Money & Catalyst Calendar

Stage 2.5 Fact-Check Gatekeeper: 20 claims dual-sourced live · 1 rejected · 3 caveated

FACT-CHECKED

US TV Time Share — Nielsen Gauge, Jul-26



- H1-26 global hours **97B+ (+2%)**, a record; US hours ~−8.6% (3rd-party est.).
- **Skydance Corp.** (Paramount+WBD) closed **Oct 6, 2026**: >200M DTC subs, HBO Max + Paramount+ to unify.
- Ads ~**$3B** in 2026 (~2x); 250M+ ad-tier MAV.

Smart Money — Score 42/100

Form 4 (Aug-26)	Sold
Co-CEO Sarandos	**$9.73M**
Co-CEO Peters	**$2.01M**
CFO Neumann	**$0.70M**
Open-market buys	**0**

13F Q2-26	Δ
FMR	**−33.6%**
Capital World	**−11.9%**
State Street / Geode	**+4.9% / +6.6%**
Short interest	2.3%

3–6M Catalyst Calendar · Sentiment 70/100

Oct 20 Q3 print + Q4 guide (EPS est $0.82)

Nov 25 NFL Thanksgiving Eve: GB vs LAR

Dec 25 NFL Christmas Day doubleheader

Jan-27 Q4 print + FY27 margin target

H1-27 Skydance HBO Max/P+ integration

Pessimism markers: WFC UW $57 (9/18), HSBC Hold $76 (9/22), weakest Emmys in a decade, Hastings off the board (6/4).

❌ Rejected Claim

“Netflix paid a WBD breakup fee” — FALSE. Netflix **received $2.8B** (Q1-26 NI $5.28B confirms).

✅ Verified (3+ sources)

Nielsen 14.2%/7.8% · WFC & HSBC downgrades · Q2 results/guide · Fed hike 9/16 · Skydance close 10/6 · Oct 20 date.

⚠️ Caveated (single-source)

US hours −8.6% (estimate) · Mar-26 price points · no active DOJ action post-WBD (treated as Watch).

Valuation Scenarios & Technical Levels

FY27E EPS consensus $3.80 (45 analysts) · Street mean target $92.84 (range $57–$135)

PROB-WEIGHTED $81.28

BULL · 25%

$102.70

+47.3%

26x × $3.95 · ads $3B+ re-accelerate, engagement stabilizes

BASE · 50%

$83.60

+19.9%

22x × $3.80 · 13% revenue growth, OM 31.5% → 33%

BEAR · 25%

$55.20

−20.8%

16x × $3.45 · attention loss forces a content-spend spike

Intrinsic Value Triangulation

Method	Key assumptions	$/sh
Strict DCF	FY27E true FCF $10.8B · 13%→8% · g 3% · CoE 9.5%	**$65.95**
P/E	22x × FY27E EPS $3.80	**$83.60**
Blend (IV)	50 / 50 — conservative anchor	**$74.78**

Technical Level Ladder

$102.70	Bull target (26x)
$83.68	200-DMA · Base target $83.60
$75.42	50-DMA · Target 1
$72.24	20-DMA resistance
$69.70	CURRENT PRICE (10/07)
$62.5–67	Approved buy zone (20–25% MoS)
$65.08	52W low · Tranche 2 limit $65.00
$60.50	Hard stop (added shares)
$55.20	Bear value · core review trigger

RSI(14) 41.0 · MACD −2.39 < signal −2.12 · reward/risk from $66 ≈ **1 : 3.2**

Lynch PEG

18.3x ÷ 22.6% consensus = **0.81**; ÷ 16% conservative = **1.15** → "fair, not a bargain."

Druckenmiller Asymmetry

+47.3% / −20.8% = **2.3 : 1** — below the 3:1 bar for aggressive sizing.

Buffett Margin of Safety

Today: 16.6% below $83.60. **$67.00 = 20% · $62.50 = 25%** → the approved accumulation band.

Portfolio Fit, CRO Ruling & Execution

Live book $1,745,865 · 23 holdings · cash 5.7% · portfolio beta 1.56 (ceiling 1.20)

CRO CAP 3.0%

Execution Blueprint

1. **HOLD core 340 sh** — no selling at a sentiment trough.
2. **Tranche 1: 150 sh (~$10.5K)** after Oct 20 *only if* FY26 guide ≥ $51.0B, 31.5% OM reaffirmed, ads ~2x.
3. **Tranche 2: 200 sh @ $65.00 limit (~$13.0K)** — 52W-low double-bottom test.
4. **Funding: trim 100 NVDA (~$23.7K)**; NVDA 20.40% → 19.04%; cash untouched.
5. **Stops:** $60.50 on added shares; core reviewed below a $55.20 weekly close.

3-Shock Stress Test (Portfolio MDD)

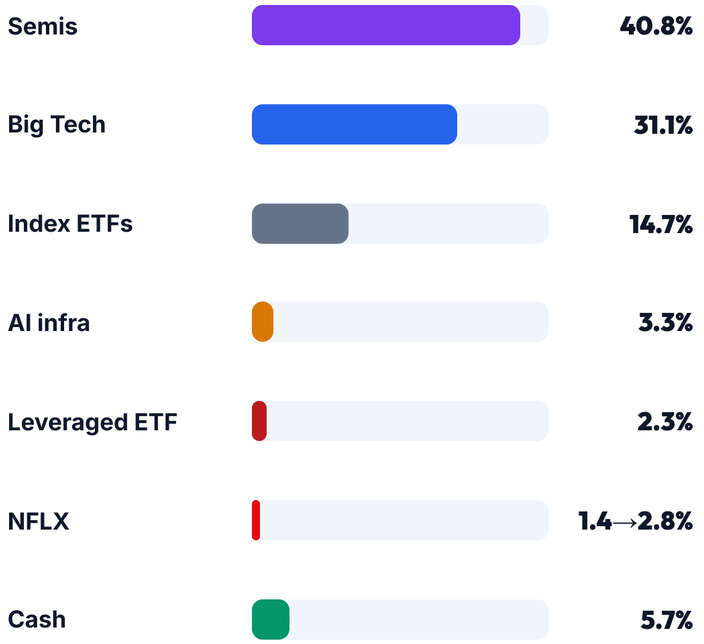
Scenario	NFLX	Now	Proposed
S1 AI-capex digestion	−12%	**−33.8%**	**−33.3%**
S2 Geopolitical / energy	−15%	**−26.3%**	**−26.1%**
S3 Higher-for-longer	−25%	**−24.9%**	**−24.8%**
Portfolio beta	0.70*	1.56	1.55

*2Y realized beta vs SPY; the stress model conservatively uses the 5Y beta of 1.61.

CRO Ruling

APPROVED · CONDITIONAL CAP 3.0%. Pre-existing breaches: beta 1.56 > 1.20; cash 5.7% < 15%. Standing order: de-lever KORU/TQQQ/SOXL.

Factor Exposure — False Diversification



~77% of the book rides a single AI-capex factor. NFLX (ρ 0.33) is one of the few true diversifiers, which justifies a larger satellite.

Non-Negotiable Exit Trigger (100% liquidation)

Revenue growth **below 8% YoY for two consecutive quarters AND a full-year operating-margin target cut below 29%**, which proves pricing power and ads can no longer offset attention loss to YouTube/Skydance. **OR** a debt-funded acquisition above **$30B** (a WBD-bid repeat) pushing net leverage above **2.5x EBITDA**.